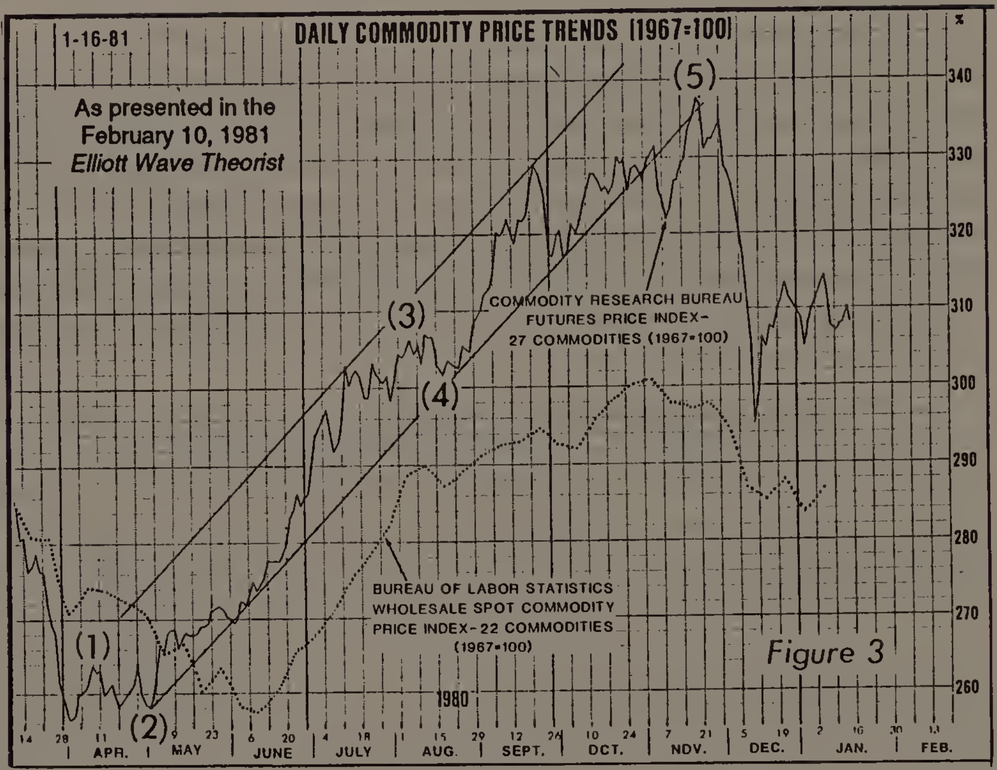

Figure 18-3

targets were being met, the upper channel lines on both the long term *and* the intermediate term charts were being touched, and the minor wave count was fulfilling its minimum requirements.

Reuters Price Index

Reuters Index of commodity prices [see Figure 18-4] uses different weightings for the various commodities and has thus traced out a pattern slightly different from that of the CRB Index since 1967. The reason I'm showing this chart is that, unlike the CRB Index, it appears to contain an *extended third wave*. Since only *one* wave in any Elliott sequence can [normally] be expected to extend, this chart suggests that *no further new highs will occur* in this index now that a simple fifth wave has been completed. That Elliott rule, in addition to the clearly dissipating momentum on each of the three higher peaks of 1974, 1977 and 1980, argue that the CRB Index's fifth wave will *not* develop into an extension. With this additional evidence, I am taking the stance that a Supercycle top has been seen in commodity prices unless proven otherwise.